

Do Remittances from Urban Informal Sector Migrants Reduce Rural Poverty More Effectively than Direct Government Transfers?

Evidence from India

Krishay Shreeram

ABSTRACT

This paper attempts to analyse whether remittances from the migrant workers in the urban informal sector in India have a greater poverty alleviation effect than direct government transfers to the rural poor. Multiple sources of income are common among rural households in India, such as remittance income from migrants and public welfare programmes, but their availability, predictability and efficacy at improving household welfare vary. Drawing upon empirical evidence from India, the study assesses the poverty alleviation impact of remittance income against the direct government transfer and focuses on household consumption, income security and economic shocks. The paper suggests that remittances can offer a relatively flexible and responsive type of financial support, especially if there is a strong economic relationship between migrants and the households they support in the villages. But their impact could differ depending on migration patterns, the nature of the households, work arrangements, and stable of migrants' income. Direct transfers from the government may be more effective in offering a wide and more institutionalised safety net, particularly to households without migrant members, despite potential targeting, adequacy and implementation limitations. This study draws attention to the complementary nature between migration and social protection to reduce rural poverty by comparing both income supports. The results add to the ongoing discussion regarding the role

migrant financial links play in India's overall policy framework and the extent to which this should be enhanced or expanded, or whether policies should focus on direct transfers or on both direct and migrant financial transfers to stimulate more inclusive and sustainable rural poverty reduction in India.

1. INTRODUCTION

In 2008, developing countries received approximately \$338 billion in remittances, while India alone received around \$52 billion, making it the largest recipient of remittance inflows in the world. These figures demonstrate the growing importance of remittances as a source of income, poverty reduction, and economic development. Remittances are funds sent home by migrants working in other regions or countries, and they have become one of the most significant financial flows into developing economies. Unlike foreign aid or investment, remittances reach households directly and are often used to support essential needs such as food, healthcare,

education, housing, and agricultural investment.

Migration is often driven by limited employment opportunities, low agricultural incomes, and economic insecurity in rural areas. Many individuals leave their villages in search of better-paying jobs in cities or abroad, while maintaining strong economic ties with their families through regular remittance payments. Research shows that these transfers play a crucial role in improving household welfare and strengthening local economies. In Punjab, for example, a study of 2,124 rural households found that remittances provided a major source of income for many families

and contributed an estimated net inflow of approximately Rs. 36 million into rural communities in a single year. Similar patterns have been observed across developing countries, where remittances have helped reduce poverty, improve living standards, and increase economic stability.

The claims about the benefits of remittances are supported through household surveys, migration studies, and statistical analysis of poverty and income data. Researchers examine factors such as household earnings, spending patterns, agricultural investment, and living conditions before and after receiving remittances. The Punjab study analysed the experiences of 504 households with migrant members, while international research compared remittance flows with poverty rates and economic indicators across multiple countries. These methods provide evidence that remittances can significantly improve household welfare and contribute to broader economic development.

This topic interests me because it shows how the actions of individual migrants can have a profound impact on families, communities, and even national economies. It is fascinating that money earned by a single worker in another city or country can help pay for a child's education, improve a family's standard of living, support agricultural production, and reduce poverty in rural areas. The topic also highlights the strong connections that migrants maintain with their families despite being separated by long distances.

I am particularly interested in understanding whether remittances create long-term development or mainly provide short-term financial support. While many households use remittances for daily consumption, studies also show that they can be invested in agriculture, housing, education, and small businesses. This raises important questions about how remittances contribute to economic growth and whether they can help

communities become more self-sufficient over time. The topic is also relevant to India, which receives the largest volume of remittances in the world and has millions of citizens working abroad.

Studying remittances provides valuable insight into the relationship between migration, poverty reduction, and development. As migration continues to increase globally, understanding the role of remittances becomes increasingly important for policymakers, researchers, and communities seeking ways to improve living standards and promote economic growth. Their ability to provide financial security, support household welfare, and stimulate local economies makes remittances one of the most influential yet often overlooked drivers of development in the modern world.

The growing reliance on direct benefit transfer programmes has sparked debates among policy makers and researchers about how best to achieve rural poverty reduction.

Social protection schemes have come a long way in recent years, but migration remains an important livelihood option for millions of rural households. Despite limited social security coverage, poor working conditions, low wages, and job insecurity, the informal sector of the urban workforce plays a significant role in the family income. These workers' remittances can be a large portion of people's earnings in migrant-receiving areas. Thus, it is both an academic and a policy question whether remittances have a larger impact on poverty reduction than direct government transfers.

The research aims to do this by analysing evidence from economic literature, government reports, survey data and empirical studies, and to make a comparison between the effectiveness of these two sources of income support in improving household welfare. In addition to income improvement, the analysis includes other developmental outcomes, including

education, health, consumption stability, asset building and long-term economic resilience.

This study will investigate the following central research question:

In India, is the impact of remittances from urban informal sector migrants greater than the impact of direct government transfers on rural poverty reduction?

The study aims at achieving the following objectives in order to answer this question:

1. To analyse the contribution of remittances to rural household welfare and poverty.
2. Analyze effectiveness of Government transfer programmes in supporting the rural households.
3. To examine and compare the impact of remittance inflows to that of direct government transfers on poverty reduction.

4. To assess the longer-term developmental outcomes of each source of income.

The study proposes that the following hypothesis be accepted, based on the existing theoretical and empirical evidence:

In India, remittances by urban informal-sector migrants have a greater effect on reducing rural poverty than direct government transfers do.

The insight from this research is relevant to current debates on migration, social protection and development policy. The study juxtaposes private and public tools of income support, giving insights into the advantages and disadvantages of each approach. The results can help policy makers design targeted poverty alleviation policies, combining aspects of labour mobility, financial inclusion and targeted welfare measures. Moreover, the study adds to the literature on development economics

by studying the impact of various types of income transfer on poverty in a highly dynamic developing economy like India.

2 CONCEPTUAL AND THEORETICAL FRAMEWORK

To grasp the linkage between remittances, government transfers, and rural poverty reduction, significant theory must be developed. There are several different economic theories that help to explain why households migrate, the impact of income transfers on household welfare, and how poverty can be alleviated. This study is based on migration theory, development economics, welfare economics and poverty analysis to compare the effectiveness of remittances from urban informal-sector migrants and direct government transfers in India.

2.1 Lewis Dual-Sector Model and Rural–Urban Migration.

The Lewis Dual-Sector Model is one of the earliest and influential explanations of migration that comes from the economist perspective. This model suggests that developing economies have two sectors: a low productivity agriculture sector that has too many workers and a modern sector in the cities that provides better employment opportunities and higher wages.

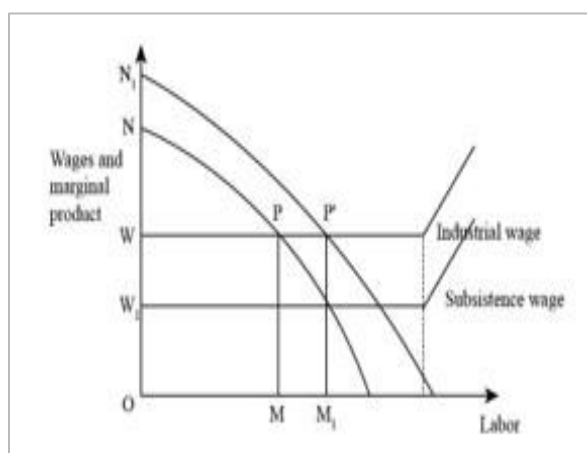
According to this model, workers will move from rural regions to urban centers when there are more attractive wages and benefits in the city than in agriculture. This can be observed in India with people leaving villages for cities like Hyderabad, Bengaluru, Mumbai and Delhi to become employed in informal sector jobs like construction, transport, manufacturing, domestic work and other work activities.

While migrants move out of their villages, economic relationships with families are

often strong. They send some of their wages home as remittances. Remittances boost family incomes and allow households to invest more in their education, health care, housing, and food, among other items. In the Lewis model, migration acts as a tool to move resources from the productive sectors of cities to the less productive sectors of rural areas and thus helps reduce poverty.

The theory also implies that the remittances are significant in terms of rural welfare as they are a consequence of rural labour market participation and are also associated with better income prospects than those inside the country.

Figure 1: Lewis graph



Source: work study

2.2 New Economics of Labour Migration (NELM).

The New Economics of Labour Migration (NELM), which was developed by economists led by and others, is more concerned with the decision of the household to migrate than that of the individual.

Families move to urban areas not just to make more money, they also want to mitigate the risk of agricultural uncertainty and unemployment, as well as crop failures and market fluctuations, NELM reports. Migration is then seen as a tool for diversifying income.

In this context, remittances are serving as a form of “informal insurance.” Migrant labourers can help to support rural households when adverse events like droughts, low agricultural prices or unforeseen costs are encountered, by remitting money. This makes households and their members less vulnerable and

enables them to sustain their consumption in the face of economic shocks.

The NELM approach is especially important in India as large numbers of rural households engage in agriculture, which is highly sensitive to climate variability and market risks. Households' economic resilience is supported by diversifying their sources of income through migration. Thus, remittances not only help reduce poverty but can also play a role in the stability of the household in the long run.

2.3 Keynesian theory, and government transfers.

The Keynesian framework developed can be used to understand the effectiveness of government transfers. Keynes believed that aggregate income rise causes aggregate expenditure increase, resulting in increased economic activity and employment.

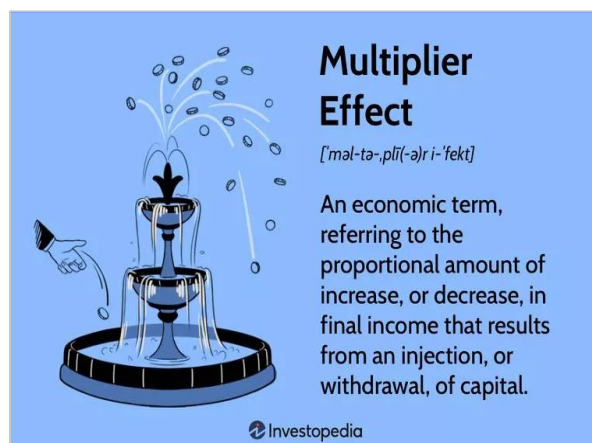
$$Y = C + I + G + (X - M)$$

This is because government transfer programmes boost the income of the recipients. Households in the villages are able to buy the goods and services they need when they get cash support from PM-KISAN, pensions, or MGNREGA wages. This extra spending creates a demand in local economies and promotes economic development.

The direct transfer is a multiplier as seen from a Keynesian point of view. Beneficiaries spend the money and it adds to the income for local businesses and workers who spend a part of their income. This can bring wider economic benefits to those who don't benefit directly from government help. Moreover, the need for the government to transfer money is especially urgent in times of economic crisis. Public transfers buffer against a sudden rise in poverty when households face employment shocks, natural disasters, and recessions or pandemics. In this sense, there is good theoretical support

for the role of the state in applying programs to provide income support, as done under Keynesian economics.

Figure 2: Multiplier effect



Source: Investopedia

2.4 Welfare Economics and Poverty Alleviation

Welfare economics is the study of the impact of economic policies on social welfare. Welfare economists argue that income growth is not the only measure of poverty reduction to consider; other measures include increases in overall welfare.

An increase in remittances or government transfers can contribute to the improvement

of the welfare of the family through an increase in resources. But the effectiveness of such transfers can be affected by the source and type of the transfers. Remittances tend to come from productive work and can stimulate investment in human capital and in income generating activities. Government transfers, on the other hand, are meant to support vulnerable groups and achieve equity in society.

The welfare economics view focuses on the need for welfare policies to be effective in reducing the level of poverty amongst disadvantaged people, and to be fair in their allocation of resources. The comparison between remittances and government transfers should thus take into account the income effects as well as the overall influence of the remittances on welfare and living standards.

2.5 Capability Approach

More comprehensive poverty can be explained using the Capability Approach

developed by . Sen believes that poverty should be considered from a different perspective; not just in terms of a lack of income but a lack of capabilities, which includes freedoms and opportunities that people have to live the lives they want to live.

This view defines poverty reduction as an increase in the capabilities of the poor, including their social and physical environment, education, health, nutrition and skills. Income is relevant since it allows people to enjoy such opportunities, but it is not a panacea for human welfare.

Capability expansion can be attributed to remittances and government transfers. Remittances can be used for children's education, upgrading housing, paying for health care, and funding small businesses. In like manner, the government transfers can improve food security, access to health services and income security of vulnerable households.

The Capability Approach thus provides a broad conceptual basis for measuring the development effects of both types of transfers. It is not just about money, but considers wider social outcomes and quality of life improvements.

2.6 Theoretical implications for the study

Theories mentioned above offer various, but equivalent explanations about remittance and governments' transfers and poverty reduction. Both the Lewis Model and NELM indicate that migration and remittance flows could be a powerful means of enhancing rural welfare by contributing to household income and diminishing economic risks. According to Keynesian theory, government transfers play an important role in the economy by boosting consumption and enhancing economic security. The Capability Approach extends the welfare economics concept of social welfare to that of human development outcomes.

These theoretical approaches imply that remittance and government transfers are both important ways to alleviate poverty. They can work in different ways, however, and have different long-term impacts. The next parts of this study will look at empirical evidence from India to see if remittances from urban informal-sector migrants are more effective in reducing rural poverty than direct government transfers to the rural poor.

3. LITERATURE REVIEW

3.1 Introduction

There has been a lot of interest in the development economics literature on the link between remittances, government transfers, and poverty reduction. Scholars have analysed the effects of remittances on household welfare, and policy makers and researchers have assessed the impact of government welfare programmes on poverty and inequality. Both mechanisms have been identified as sources of financial support for

vulnerable households, but the extent to which they are more effective and have a longer-term developmental benefit is subject to discussion. The literature review in this section summarizes existing studies on the relationship between remittances and government transfers and poverty reduction, particularly for the Indian context.

3.2 Remittances and Rural Poverty Reduction

The literature on remittances and the reduction of poverty in developing countries is extensive and indicates that remittances have been important in poverty alleviation in these countries. Some theoretical and empirical analyses suggest that migration enables households to spread their sources of income and limit the reliance on unpredictable farm income.

The role of remittances in reducing poverty, enhancing living standards and economic development has been consistently emphasized by the studies conducted by the

Remittances boost the income of the recipient households, allow them to spend more on consumption, and allow them to invest in education, health care and housing. Remittances are, in contrast with much other aid, directed to households, and the recipient decides on the spending priorities.

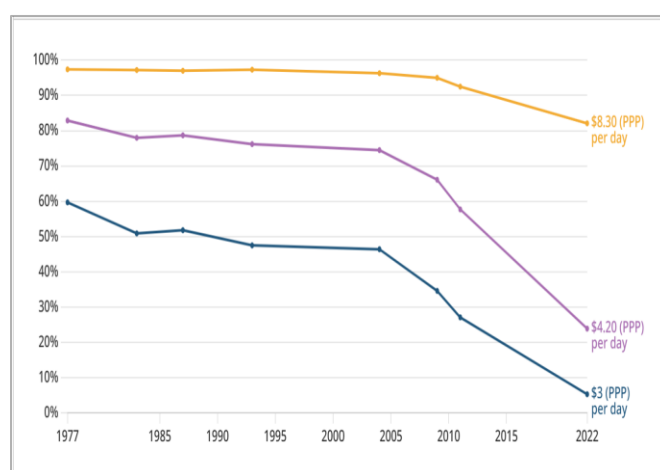
Studies of developing countries have shown that households receiving remittances generally have lower poverty rates than remittance-absent households. A rise in income allows families to buffer against economic shocks and temporary shocks like illness, jobless periods, or crop failures.

Figure 3: Top 10 countries receiving/sending international remittances (2010–2024) (current USD billion)

Top countries receiving remittances							
2010		2015		2020		2024	
India	53.48	India	68.91	India	83.15	India	137.67
Mexico	22.77	China	33.10	Mexico	43.98	Mexico	67.64
Philippines	21.56	Philippines	29.80	Philippines	34.88	Philippines	40.28
France	19.90	Mexico	26.82	France	29.98	France	38.78
Nigeria	19.74	France	25.45	Egypt	29.60	Pakistan	34.91
Germany	14.23	Nigeria	20.63	Pakistan	26.09	China	31.41
China	13.64	Pakistan	19.31	Bangladesh	21.75	Egypt	29.56
Egypt	12.45	Egypt	18.33	China	18.88	Bangladesh	27.60
Belgium	10.99	Bangladesh	15.30	Germany	18.82	Guatemala	21.64
Bangladesh	10.85	Germany	14.89	Nigeria	17.21	Nigeria	21.30

Source: World bank (2025)

Figure 4: Share of population living in poverty in India over time 5% of Indians live in extreme poverty, while one in four are under the poverty line for lower-middle-income countries



Extreme poverty line is \$3.00, Lower-middle-income country poverty line is \$4.20, Upper-middle-income country

poverty line is at \$8.30. PPP is purchasing power parity, in 2021 terms.

Source: World Development Indicators, World Bank

Within the Indian scenario, internal migration is a big means of livelihood to rural households. Millions of workers migrate from rural areas to urban centres in search of employment opportunities. Most of these migrants are employed by the informal sector, such as construction, transportation, domestic services, street vending and small-scale manufacturing.

Multiple studies have shown that remittances (transfers) from migrant workers can have a very positive impact on the welfare of families. Remittance is often utilized for children's education, health care expenses, home improvement, agriculture investment and paying off debts. Households receiving remittances have been

found to be more prosperous than those that rely on local opportunities.

In the literature, yet another point of significance is that remittances help in asset formation. Remittance income can be invested in livestock, irrigation, small business, or farm equipment, rather than just used for day-to-day consumption. These investments can produce future streams of income, and help to reduce poverty in the long run.

But there are some researchers who believe that remittances cannot be a panacea for rural poverty. The benefits of remittances are unevenly distributed because not all households have migrant members. Financial and social capital, as well as job opportunities, are frequently needed for the migration process. As a result, the most vulnerable families may suffer from being deprived of benefits of migration. Moreover, the remittance inflows can vary from time to time depending on the labour market

conditions in the recipient countries, and thus are less predictable than government assistance.

3.3 Government transfers and poverty reduction

Another important direct tool for poverty mitigation is the transfer of income by the government. There has been a significant increase in social protection programmes in developing countries, and the importance of the state in defending vulnerable groups is gaining increasing recognition.

There is evidence that direct transfers from the government can help to alleviate poverty by supplementing income, by bolstering food security, and by increasing the availability of essential services. A major advantage of welfare programmes is that they benefit groups that lack alternative support mechanisms.

Welfare schemes and direct benefit transfer (DBT) have become an important focus for poverty reduction in India. The Direct

Benefit Transfer (DBT) system has enhanced welfare delivery efficiency by direct bank transfer. The idea is to cut down on leakages, corruption and administrative inefficiencies.

The effects of large-scale government programmes like food subsidy schemes, social pensions, PM-KISAN, and MGNREGA have been studied. Evidence indicates that these programmes have indeed helped to boost rural well-being, through the generation of income support and improved consumption stability.

Studies into MGNREGA revealed that it was a source of safety nets for rural households, especially in times of agricultural crisis. The scheme provides jobs and enhances income security, minimising the risk of being impacted by seasonal unemployment.

Likewise, research on social pension programmes finds that frequent cash transfers increase the well-being of older

and economically disadvantaged people. Pensions can be relied upon to make ends meet, for food, health, and household costs. In recent years, PM-KISAN has also garnered a lot of attention. The scheme aims to alleviate financial pressure on farmers and provide a supplementary source of income by offering financial assistance directly to them. Empirical evidence indicates that consumption and short-term financial security in the household improves in the beneficiary household.

Figure 5: Pradhan Mantri Kisan Samman Nidhi (PM-KISAN)



*Source : Ministry of Agriculture and
Farmers Welfare*

While these benefits are positive, researchers have found that government transfers have a number of drawbacks. Transfers are often small in comparison to household requirements and relatively small in terms of their overall potential to help reduce poverty. Other administration issues, errors of exclusion in the sample and gaps in implementation could also affect the effectiveness of the programme. In addition, some scholars have posited that transfer programmes serve a consumption function rather than an investment/sustainable income generating function.

3.4 Comparative Perspectives on Remittances and Government Transfers

While there is a significant body of research on the impact of remittances on poverty and on the impact of government transfers on poverty, there are relatively few studies that directly compare these two types of transfers in their ability to reduce poverty.

Remittances tend to be larger in absolute amount than government transfers, according to comparative studies. Migrant workers might be able to remit significant amounts of income to their families, creating income flows significantly larger than many welfare payments. Consequently, remittances could be more important for household consumption, saving, and investments.

There have also been researchers who have observed that remittances are typically correlated with better education, health, housing status and asset-building. Households have some choice about what they do with remitted funds and resources can be invested in productive activities that bring long-term returns.

But government transfers have some important characteristics that remittances do not. Welfare programmes are aimed at specific groups of people and households which are classified as vulnerable, such as

those that have no migrant members. They play an important role in alleviating unemployment, under economic and natural disaster conditions.

Remittances and government support were shown to be complementary during the COVID-19 pandemic. Government transfer programmes safeguarded vulnerable households against extreme economic hardships, although many migrant workers suffered income loss and remittance flows were interrupted.

4. DATA ANALYSIS AND FINDINGS

4.1 Introduction

The empirical link between remittances from urban informal-sector migrants, government transfers, and the decline in rural poverty in India is explored in this chapter. The analysis is based on secondary data sources, such as government reports, survey results, and academic studies, to assess the impact of these two sources of

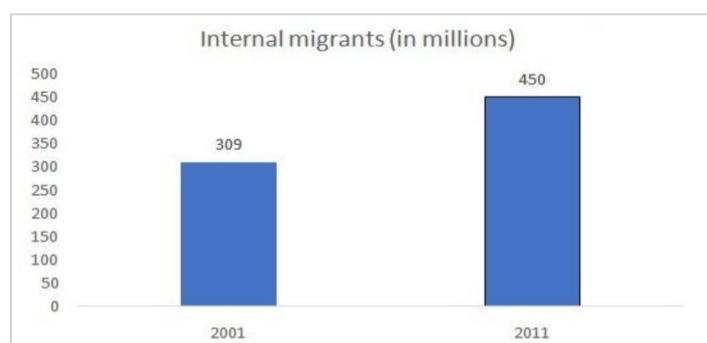
income on household welfare. Their impact on income, consumption expenditure, education, health care, asset creation, and general poverty reduction are of particular concern. The aim of this chapter is to present the evidence to answer the main research question of the study by comparing the outcomes of remittance and government transfers.

4.2 Trends in Rural–Urban Migration

Rural–urban mobility is becoming an integral part of the economic metamorphosis in India. The lack of jobs in rural areas has continued to drive millions of people to the urban areas with the hope of better opportunities for employment and a better standard of living. The majority of migrants from rural areas work in the informal sector, including a range of employment opportunities such as construction, transportation, domestic work and hospitality.

The migration process has enhanced the economic linkages between the labour markets in cities and the household economy in rural areas. Though people migrate, they usually have close relationships with their relatives and frequently send back a part of their income to their villages. These remittances are now playing an important role in the household income in areas where agricultural production is low and opportunities for seasonal jobs are limited.

Figure 6: Number of internal migrants in India (2001 and 2011)



Source : Census of India

Households are increasingly turning to labour migration to improve their economic

situation, as evidenced by the increase in migration. Migration has also grown in importance with respect to remittance flows to boost rural livelihoods.

4.3 Contribution of Remittances to Rural Household Income

Remittance is one of the significant sources of additional earnings to the rural household. Unlike income from agriculture, remittances can be a more predictable source of monetary support, as they are not subject to the same risks of weather and market volatility. Remittance-receiving households typically tend to have a higher level of income security, and they are better prepared to cope with economic shocks.

Empirical evidence indicates that remittance income plays an important role in the increase in welfare and consumption of household members. Remittances are often used by rural households to satisfy their basic consumption requirements, including food, clothing, health care, and education.

For many, remittances contribute significantly to their household income and can be the key to sustaining their living standards.

In addition to being used as a source of food, remittances are also invested in productive activities. People often save money for agricultural activities, livestock, house improvements and small business. These investments help with income generation and economic security in the long-term. Therefore, remittances not only help to reduce the current level of poverty but they also have the potential to bring about sustainable development.

4.4 Government Transfers and Rural Welfare

The role of government transfers as a significant instrument in the poverty alleviation policy in India has become more prominent. The government is trying to give poor people income security via welfare schemes like PM-KISAN, MGNREGA, and

social pensions, as well as Direct Benefit Transfer schemes.

The growth of digital infrastructure and more bank account penetration has made it easier and more effective to deliver transfers. Direct transfers also help lower leakages and make the transfer more effective to the intended recipients than the traditional transfer system.

Rural welfare is enhanced by government transfers as they enhance the disposable income and the level of consumption of rural people. Welfare benefits are a lifeline for many low income families when they are in dire financial straits. These programmes are especially critical for the elderly, small farmers, widows and other groups that are economically vulnerable.

4.5 Comparative Contribution to Household Income

One of the important goals of this study is to examine the comparative contribution of remittances to household income and

government transfers to the household income. There is some evidence that remittances can be higher in value than government transfers. Welfare programmes offer valuable support but, as a proportion of the income sent back by migrant workers, it is usually rather small.

Remittances can provide significant resources for remittance-receiving households, both for consumption and investment. Government transfers, on the other hand, are usually used to supplement other sources of household income.

Figure 7: Changing Dependency on Different Income Sources

Source of Income	Households Earning Income from Source		
	2004-05	2011-12	Change
Agriculture	71.5%	73.6%	2.1%
Agricultural Labour	40.4%	35.4%	-5.0%
Casual Labour	28.2%	46.6%	18.4%
Salary	17.6%	19.1%	1.5%
Business	16.6%	15.3%	-1.3%
Remittance	6.2%	17.7%	11.5%
Other	22.1%	46.9%	24.8%

*Source: National Institute of rural
development and Panchayati Raj*

4.6 Impact on Consumption and Living Standards

Consumption expenditure is considered an important measure of poverty reduction because it indicates the capacity of a household to meet basic needs. Households that receive remittances tend to have greater expenditures on health care, consumer goods, education, and food than those that don't receive remittances.

Government transfers also help increase consumption by increasing funds available. But the impact on overall expenditure patterns may be less because welfare benefits may be smaller in terms of actual value.

The findings suggest that there is greater improvement in the living standards of remittance-receiving households. The typical family that receives migrant wages enjoys improved housing conditions, nutrition and access to services.

4.7 Impact on Education and Healthcare

Education and health-care funding are important for eliminating poverty. Remittances can allow households to invest more in their children's education, including in school fees, books, private tutoring and tertiary education. Higher education levels lead to better economic prospects and upward social mobility.

In a similar way, remittance income increases the access to health care by easing financial constraints on access to health services. Families have improved access to consultation, medication, diagnostic services and hospitalisation as needed.

Government transfers also play a role in enhancing human development through a rise in the purchasing power of the household. The amount of remittance investment tends to be, however, larger. Consequently, remittances are able to have a more significant impact on educational and health outcomes for households.

The evidence therefore indicates that remittance has a significant impact on human capital development, an important element of poverty reduction in the long run.

4.8 Asset Creation and Productive Investment

The most significant difference between remittances and government transfers relates to their importance for asset formation. Remittances are often put to productive uses that can create income in the future. Money remitted by relatives is frequently spent on livestock, upgrading land or equipment, running small businesses, or building decent homes in rural households.

These investments add to economic strength and help limit reliance on risky income sources. Productive assets not only enhance the current standard of living but also provide opportunities for more economic development.

Government transfers "primarily serve a consumership function. They have a large

role in easing hardship but do not often involve a large investment in productive assets. This may mean that their role in sustainable income generation might be less pronounced.

4.9 Poverty Reduction Outcomes

All remittances and government transfers are ultimately to help reduce poverty. The data presented in this chapter suggests that households receiving remittances are typically less poor than similar remittance non-receiving households. All these factors lead to better economic outcomes when combined: higher earnings, higher consumption, better human capital, and asset ownership.

Government transfers also have a crucial role in poverty reduction, notably that of those most vulnerable who have no access to migration opportunities. Welfare programmes help households avoid the very poorest status of living and offer an

invaluable safety net in times of economic hardship.

4.10 Conclusion

The results in this chapter show that remittances and government transfers have both positive effects on rural welfare in India. However, remittances seem to offer more comprehensive and lasting benefits because they have more substantial amounts and have the potential to promote productive investment and expansion of human capital. The results of these are used as the basis for the comparative analysis which is presented in the following chapter, where the relative effectiveness of these two mechanisms at reducing rural poverty is analyzed.

5. COMPARATIVE ANALYSIS AND DISCUSSION

5.1 Introduction

The empirical literature on remittance flows from urban informal-sector migrants and government transfers in India has been

discussed in the previous chapter. The results showed that both mechanisms are important in enhancing the welfare and poverty alleviation of households. The amount, duration, scope and developmental effect of these incomes, however, vary considerably. This chapter makes a comparative analysis of remittances and government transfers and assesses their comparative effectiveness in reducing rural poverty.

5.2 Income Enhancement and Poverty Reduction

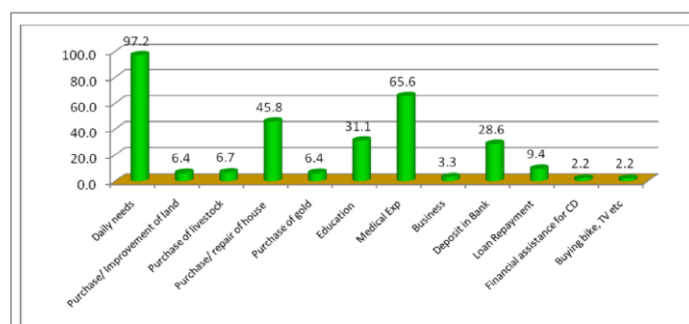
The amount of disposable income experienced by the household is one of the main factors that affects poverty reduction. The empirical evidence examined in the previous chapter indicates that remittances tend to significantly increase financial resources as compared to direct government transfers. The urban informal sector workers are often remitterial to their family members in the rural areas sending an appreciable

amount of their income. They supplement the agriculture income and wage income and play important role in the household income. While significant, government transfers tend to be a smaller share of the value of transfers and are meant to provide minimum support. Governance schemes like PM-KISAN, MGNREGA, and social pensions are supporting the household to fulfil their consumption needs and minimise their vulnerability. However, they are often insufficient to bring about substantial improvements in economic conditions.

As a poverty reduction tool, income offers greater possibilities for the households to invest in education, health and productive activities. Thus, remittance income is more likely to impact on income poverty reduction and improve living standards. This observation is in line with the Lewis Dual-Sector Model focusing on the interdependence of resource transfer from

the urban sectors to the rural households via migration.

Figure 8: Use of Remittances



*Source : Ministry of Statistics and
Programme Implementation*

5.3 Consumption Smoothing and Household Welfare

Remittances and government transfers are both positive influences on household consumption. Beyond the essentials of feeding, clothing, fuel and other needs, families have additional income to cover other needs. However, the ways in which these types of support can take place vary greatly.

Government transfers are relatively stable and predictable, as they are facilitated via institutional arrangements. Generally, the

size and frequency of payments to beneficiaries are well known, and thus the households are better positioned to plan their expenditures. This predictability would be especially valuable to less economically stable families.

Remittances, on the other hand, are subject to the employment situation experienced by migrant workers. Remittance flows might be influenced by the irregularity of earnings, as well as employment insecurity, due to many migrants being in the informal sector. Notwithstanding this uncertainty, the higher flows connected to remittances are likely to be associated with better improvements in the consumption and living standards of families. Hence, although transfers from governments can be stabilizing, remittances often result in a larger increase in overall welfare.

5.4 Human Capital Development

One of the key ways of contributing to long-term poverty reduction is through human

capital development. Greater investment in education and health improves productivity, and can raise future earnings potential, which improves intergenerational mobility.

The analysis indicates that remittances are an important contributor to human capital development. Remittance-receiving families are more likely to be able to afford better school fees, school supplies, health care, and food. These expenses help boost the skills and work output of family members and help ensure continued economic progress.

Government transfers also help to promote human development by boosting household purchasing power and alleviating financial burden. This may mean, however, that the amount of money invested in education and health care through transfers is comparatively small. This is in line with the Capability Approach of Amartya Sen that places emphasis on increasing opportunities and capabilities—not just income.

5.5 Asset Creation and Productive Investment

A second key difference between remittances and government transfers is their effects on asset accumulation and productive investment. Empirical evidence suggests that remittance income is often invested in housing renovation, modernization of agriculture, purchase of livestock and small business development. These investments provide future income flows and increase household's resilience to economic shocks.

In contrast, government transfers are mainly used to provide for consumption needs. They are less often linked to the formation of productive assets, although they contribute to alleviating deprivation. In this regard their role in the development of the economy is generally less extensive in the long term.

The evidence fits in with the New Economics of Labour Migration theory that

sees migration as a solution to financial constraints and investment in productive activities. Remittances not only boost the current welfare of their recipients, but also future economic opportunities.

5.6 Economic Resilience and Risk Management

Households' capacity to buffer against economic shocks and uncertainties is an important aspect of poverty reduction. Remittances help promote economic resilience by adding to household income sources and minimizing reliance on agriculture. Migrant workers can supplement their families' income if there are times of crop failure, health crises, or temporary unemployment.

However, fluctuations in labour market conditions can affect remittances as well. A shrinking economy and disturbances in the labor markets of urban areas can lower migrants' earning potential and lessen remittance inflows.

Government transfers constitute another form of protection. They are meant to act as a social safety net, so they are especially relevant in the face of crises. Welfare programmes have proved their significance in protecting vulnerable households from critical economic situations during the COVID-19 pandemic. Indeed, government transfers have a crucial stabilizing effect that complements remittances.

5.7 Coverage and Inclusiveness

The good thing about government transfers is the amount of people that they cover. Remittances only accrue benefits to the households that include migrant members and thus are not distributed equally throughout society. Education, financial resources and social networks are among the factors that affect migration opportunities and that may prevent the poorest households to take advantage of migration.

The welfare programs of the government, however, are targeted at specific groups.

Small farmers, elderly people, widows, persons with disabilities, and the economically disadvantaged can be assisted irrespective of their status as migrants. Consequently, government transfers are more inclusive and help to mitigate social inequalities.

This feature is important as it exposes one of the drawbacks with using remittances as a poverty alleviation tool. Remittances can bring greater benefits to recipient households, but cannot ensure protection for everyone.

5.8 Fiscal Sustainability and Economic Efficiency

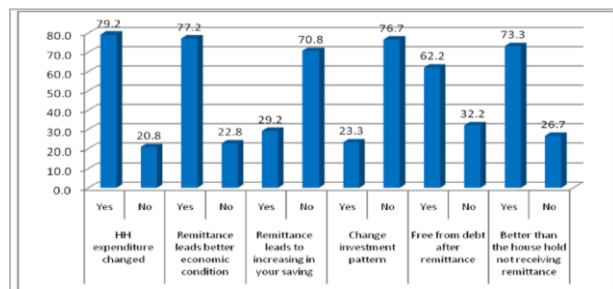
Another important consideration in comparison is the means of financing. Remittances are income in the form of private transfers as a result of participation in the labour market, which are not a direct financial strain to the government. Their services to the welfare of the household do

not need to be financed using extra public funds.

In contrast, government transfers rely on fiscal resources, and they are a significant portion of the budget. Such spending is argued to be in the interest of social welfare and redistribution, but can also lead to fiscal problems if programmes are run to the limits of sustainability.

Remittances are a self-financed instrument of economic efficiency, namely in supporting the welfare of households through productive employment. Care needs to be taken in how government transfers are used for social protection without impacting on the ability to finance the total.

Figure 9: Economic Impact of Remittance
Study on Impact of Remittance from
Migrant Workers in Odisha



Source : Ministry of Statistics and

Programme Implementation

5.9 Comparative Assessment

Dimensions	Remittances	Government Transfers
Income Value	Higher	Lower
Poverty Reduction Impact	Strong	Moderate
Human Capital Development	Strong	Moderate
Assets Creation	High	Limited
Crisis Protection	Moderate	High
Coverage	Limited	Broad
Fiscal cost	Private	Public
Long Term Development Impact	High	Moderate

5.10 Discussion of the Central Research Question

This study mainly aims to assess if remittances by urban informal sector migrants reduce rural poverty more than direct government transfers in India. The evidence presented in this study indicates that, generally speaking, remittances have greater impacts on long term poverty reduction. These higher monetary values, flexibility of use and productive investment allow households to make continuous welfare and mobility improvements.

But this should not be seen as a sign that the role of government transfers is less significant. Welfare programmes are still essential as they support those households which have no access to migration opportunities and ensure that vulnerable groups are not deprived of the necessary support. Moreover, the stabilising effects of government transfers is more significant in the economic crises.

The results hence suggest that remittances and government transfers are not to be considered as mutually exclusive. Instead they are complementary mechanisms tackling various aspects of poverty. Remittances are fostering economic progress and asset building while government transfers are ensuring social protection and inclusiveness. They collectively offer a more holistic approach towards sustainable rural development.

5.11 Conclusion

The comparative analysis indicates that the remittances of urban informal-sector migrants are likely to have a greater impact on reducing poverty in the rural areas in India than government transfers. With their higher economic value and ability to finance investment and human capital development, they are an effective tool for long-term development. However, transfers by the government are still necessary for social security, safeguarding the needs of the

vulnerable, and addressing economic shocks. Hence, it is better to opt for strengthening the complementary nature of the two mechanisms, rather than choosing between them in the context of poverty reduction in India.

6. CONCLUSION AND RECOMMENDATIONS

6.1 Conclusion

In spite of the phenomenal economic development and improvement in social services, poverty is still a major development problem in rural areas of India. In the past, remittances from migrant workers, and government transfer programmes have become significant devices in assisting rural households and enhancing their quality of life. This study aimed at testing whether remittances from urban informal sector migrants have a greater impact on reducing rural poverty than direct government transfers in India.

The analysis started with the theoretical frameworks of migration, remittance and welfare transfers as presented in the Lewis Dual-Sector Model, New Economics of Labour Migration, Keynesian theory, welfare economics and the Capability Approach. These frameworks were useful for learning more about the various channels through which private and public transfers can affect household welfare and poverty.

The literature reviewed showed that remittances and government transfers have positive impact on rural households. Remittances contribute to household income, augment their consumption levels, fund education and healthcare spending, and enable productive investment. Government transfers, on the other hand, are social protection, increase income security, and help vulnerable groups with targeted welfare programmes.

The empirical analysis also confirmed that remittances may be larger in monetary terms

than government transfers and that they are more likely to be invested in activities that will lead to long-term development outcomes. Remittance money is not only spent on current consumption, but also on housing, agricultural modernization, small business, education and healthcare. The investments contribute to building sustainable pathways out of poverty in the medium to long-term and increases the household resilience over time.

In contrast, government transfers primarily function as safety nets. Home Visiting and Distribution Programs, like PM-KISAN, MGNREGA, social pensions and Direct Benefit Transfer Schemes are important in tackling economic vulnerability and safeguarding household against severe economic deprivation. Their role is especially significant in times of unemployment and crisis or natural disaster. But, being relatively small, many transfer payments do not necessarily have a

significant long-term economic transformation potential.

Based on the comparative analysis that has been carried out in this study, it is concluded that in general remittances are more effective than direct government transfers in reducing rural poverty. They are an effective tool to enhance household welfare because they are more valuable, flexible in their use, can build assets, and can help develop human capital. The results thus lend support to the hypothesis that remittances from the urban informal-sector migrants have a greater impact on rural poverty reduction than the government transfers in India.

But the study also shows that that should not be seen as downplaying the significance of government welfare programmes. Hence, remittances only help households with migrants while government transfers are create to reach a larger population, including those who cannot participate in migration. This makes government transfers essential

to provide social protection and to foster inclusive development.

One important finding from this study is that remittances and government transfers are not mutually exclusive. They, however, play complementary roles in poverty reduction within a wider framework. Remittances help with economic mobility and long-term development, and transfers from government are vital for protecting against vulnerability and exclusion. As a package they add to a more complete and successful rural poverty alleviation strategy.

6.2 Recommendations

This study has led to the following policy recommendations:

1. Improve social protection for migrant workers.

Therefore, policy makers must enhance the working and living conditions of the urban informal migrant workers to contribute to rural welfare, which is promoted by the remittance flow. Greater social security

coverage, access to health care, insurance plans, and protection of workers' rights may improve the earning potential and regularization of remittances of migrants.

2. Encourage affordable and efficient remittance systems.

Government and financial institutions should keep promoting digital payment systems and further lower the cost and time of remittance transfers. The more that can be transferred easily and safely the more income that will be available to rural households.

3. Support PUL (productive utilization of remittances) CPD.

Remittances should be encouraged to be invested in productive activities like agriculture, small enterprises, skill building and education. Remittances can boost households' developmental returns, through financial literacy programmes and credit.

4. Enhance targeting and delivery of government transfers

Further efforts should be made to minimize the number of exclusion errors, administrative delays and implementation issues in welfare programs. Targeting more accurately can help ensure assistance is delivered to those most in need.

5. Increase opportunities to employ rural people.

Income transfers are not sufficient to reduce poverty, sustainable employment is also needed. Increased investment in rural industries, rural infrastructure, skill development and non-farm activities can generate economic opportunities and minimise over-reliance on migration.

6. Make Migration part of Development Planning

Migration should be considered a key element in economic development policy. Migration policy needs to be part of development policies, which should also

include migrant welfare, financial inclusion and rural investment.

7. Take an approach to policy that is complementary.

To achieve this, policy makers should consider and adopt a comprehensive approach, which leverages a combination of remittances and government transfers. This can do both the promotion of economic opportunity and social protection, and long-term poverty reduction.

6.3 Final Remarks

This study provides evidence of the important role of the city informal-sector migrants in rural development via remittances. Although the government welfare schemes are an important component of the social protection system, remittances are now playing an important role in income growth, asset creation and human capital formation in rural India. Policies that further improve the livelihoods of migrants and social welfare programs will

play a significant role in achieving substantial and sustainable decrease in rural poverty as India heads towards inclusive and sustainable development.

References

1. (1999). *Development as Freedom*. Oxford University Press.
2. (1936). *The General Theory of Employment, Interest and Money*. Macmillan.
3. (1954). Economic development with unlimited supplies of labour. *The Manchester School*, 22(2), 139–191.
4. (1985). The new economics of labour migration. *American Economic Review*, 75(2), 173–178.
5. (2006). *Global Economic Prospects: Economic Implications of Remittances and Migration*. World Bank.
6. (2023). *Migration and Development Brief*. World Bank.
7. (2023). *Annual Report 2022–23*. Mumbai: Reserve Bank of India.
8. (2024). *Handbook of Statistics on the Indian Economy*. Mumbai: Reserve Bank of India.
9. (2023). *National Multidimensional Poverty Index: A Progress Review 2023*. Government of India.
10. (2023). *Annual Report 2022–23*. Government of India.
11. (2024). *MGNREGA Annual Report 2023–24*. Government of India.
12. (2024). *PM-KISAN Scheme Dashboard and Annual Report*. Government of India.
13. (2010). *Migration in India (NSS 64th Round)*. Ministry of Statistics and Programme Implementation.
14. (2024). *Periodic Labour Force Survey (PLFS): Annual Report 2023–24*. Government of India.

15. (2024). Human Development Report 2023/2024. United Nations Development Programme.
 16. (2021). World Employment and Social Outlook: Trends 2021. International Labour Organization.
 17. (1969). A model of labour migration and urban unemployment in less developed countries. *American Economic Review*, 59(1), 138–148.
 18. Arango, J., Hugo, G., Kouaouci, A., Pellegrino, A., & Taylor, J. E. (1993). Theories of international migration: A review and appraisal. *Population and Development Review*, 19(3), 431–466.
 19. (1983). *Rural Development: Putting the Last First*. Longman.
 20. (2017). *Sending Money Home: Contributing to the SDGs, One Family at a Time*. IFAD.
-